

M/s L.M.L. Ltd. v. State of U.P. & Ors.

Allahabad High Court · Division Bench · 18 September 2009 · 2009 SCC OnLine All 1157 : (2009) 6 All LJ 537 : (2009) 77 ALR (SUM 57) 26 : 2010 AIHC 480 · C.M.W.P. No. 24900 of 2009 · **Writ petition allowed; the reduction of contracted load from 8 MVA to 1.25 MVA held to have stood approved on 19.4.2006, effective from 1.5.2006**

HEADNOTE

A licensee's decision to reduce a consumer's contracted load, once taken, leaves only ministerial steps, and cannot be undone by later insistence on requirements not demanded at the time. The petitioner (a loss-making two-wheeler manufacturer, notified a 'Relief Undertaking' under the U.P. Industrial Undertaking (Special Provisions for Prevention of Unemployment) Act, 1966, and later a sick unit) applied on 31.3.2006 to reduce load from 8 MVA to 1.25 MVA after a lock-out halted production; the licensee agreed in a signed meeting on 19.4.2006, subject only to ministerial conditions, and the UPERC (8.5.2006) raised no objection. The Court held: (i) the reduction stood approved on 19.4.2006, effective from the first day of the following month (1.5.2006) under Clause 4.41(e); (ii) the relief-undertaking notification under ss.3-4 of the 1966 Act operates as a statutory stay of recovery, satisfying the 'stay by Court/Forum' condition of Clause 4.49; (iii) the unamended Clause 4.49 (which then accepted a bond or any instrument, including an affidavit of undertaking, not only a bank guarantee) governed the 31.3.2006 application, so the later demand for a bank guarantee (based on the 14.9.2006 amendment) was irrelevant; and (iv) no UPERC approval was needed for a licensee's load-reduction decision. Continuing to bill at 8 MVA after a production halt was unjust. This judgment was AFFIRMED by the Supreme Court in Kanpur Electricity Supply Co. Ltd. v. LML Ltd., (2010) 6 SCC 165.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.49

Load reduction stood approved on the licensee's decision; unamended Clause 4.49 governs and only ministerial steps remained

QUESTION

Where the licensee decided to reduce load on a complete application, can it later refuse effect for want of a bank guarantee introduced by a subsequent amendment, and from when does the reduction take effect?

HOLDING

No. The load reduction stood approved by the licensee's signed decision of 19.4.2006, at which time no shortcoming in the application or non-compliance with Clauses 4.41/4.49 was pointed out; only ministerial steps remained. The application dated 31.3.2006 was governed by Clause 4.49 as it then stood, which accepted a bond or any instrument (the word 'instrument' being wide enough to include the affidavit of undertaking filed) and not only a bank guarantee; the requirement of a bank guarantee introduced by the 14.9.2006 amendment did not apply, so the later demands for a bank guarantee were of no consequence. No UPERC approval was required for a licensee's load-reduction decision. Under Clause 4.41(e) the reduction takes effect from the first day of the following month, i.e. 1.5.2006. ¶ 9-27

LIMITING FACTS

Lock-out from 7.3.2006 halted production; application of 31.3.2006 to reduce 8 MVA to 1.25 MVA; signed licensee decision on 19.4.2006 subject only to ministerial conditions; UPERC (8.5.2006) raised no objection; bank-guarantee demanded only later (4.10.2006 / 20.3.2007) on the amended Code.

INTERPLAY · URUA1966::4

A relief-undertaking notification operates as a statutory stay of recovery satisfying Clause 4.49

QUESTION

Does a 'Relief Undertaking' notification under ss.3-4 of the 1966 Act satisfy Clause 4.49's condition of a stay of recovery 'by any Court/Forum/Tribunal/Commission' where there is no such stay order?

HOLDING

Yes. Under s.4 of the 1966 Act the liabilities of a notified relief undertaking accruing before the relevant date stand suspended while the notification is in force, and all proceedings for their enforcement are stayed. As the petitioner was a notified relief undertaking when it applied (31.3.2006), the recovery of arrears is to be treated as stayed, satisfying the

'stay' condition of Clause 4.49; the respondents' contention that Clause 4.49 was inapplicable for want of a court/forum stay was rejected. The declaration binds all instrumentalities of the State, including the licensee. ¶ 13-16, 25

LIMITING FACTS

Relief-undertaking notification of 24.6.2004 under s.3(1) of the 1966 Act, extended to 23.6.2007, in force when the load-reduction application was made; subsequent BIFR/1985-Act proceedings post-dated the application and were not relied on.

PRINCIPLE TAGS

sick-unit-protective-treatment A loss-making unit notified as a 'Relief Undertaking' cannot be burdened with billing at the pre-reduction load after production has halted; the relief declaration binds the licensee. ¶ 24-26

law-as-of-application-date-governs A load-reduction application is governed by the Code as it stood when the application was made (here the unamended Clause 4.49 accepting bond/instrument), not by a later amendment introducing a bank-guarantee requirement. ¶ 17, 23

relief-undertaking-notification-stays-recovery A notification under ss.3-4 of the 1966 Act suspends pre-notification liabilities and stays their enforcement, satisfying the stay condition of Clause 4.49. Lead authorities: *Modern Syntax (I) Ltd. v. Debts Recovery Tribunal, Jaipur*. ¶ 13-16

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE QUANTUM OF ARREARS AND THE CONSEQUENCES OF THE SUBSEQUENT BIFR PROCEEDINGS

The arrears dispute abided separate settlement/BIFR proceedings; the BIFR orders post-dated the application and were not gone into. ¶ 16

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Kanpur Electricity Supply Co. Ltd. v. LML Ltd.</i> (2010) 6 SCC 165 [SCJ-038] Supreme Court	Affirmed this judgment: the load reduction stood approved on the licensee's decision and the consumer was entitled to have its load treated as reduced.	Subsequent history - this High Court judgment was affirmed by the Supreme Court (recorded in the corpus as SCJ-038). ¶ (headnote)	Court	Affirmed
<i>Modern Syntax (I) Ltd. v. Debts Recovery Tribunal, Jaipur</i> AIR 2001 Rajasthan 170 Rajasthan High Court (Division Bench)	The effect of a relief-undertaking notification is that any right, obligation or liability accrued before the undertaking was declared a relief undertaking, and any remedy for its enforcement, stands suspended, and all proceedings related thereto pending before any court/tribunal/authority are stayed during the currency of the notification.	Relied on to hold that the relief-undertaking notification operated as a stay of recovery satisfying Clause 4.49. ¶ 15-16	Petitioner	Relied on
<i>K. Sambasivaraju v. M.V.S.R. Chandrayya Chetty</i> AIR 1967 Andhra Pradesh 87 Andhra Pradesh High Court (Division Bench)	The word 'instrument' (as in s.2(14) of the Stamp Act, 1899) must receive an extensive meaning including an affidavit.	Relied on to hold that the affidavit of undertaking qualified as an 'instrument' acceptable under the unamended Clause 4.49. ¶ 18-19	Petitioner	Relied on

SCJ-246 · M/s L.M.L. Ltd. v. State of U.P. & Ors. · 2009 SCC OnLine All 1157 : (2009) 6 All LJ 537 : (2009) 77 ALR (SUM 57) 26 : 2010 AIHC 480 · Supply Code Jurisprudence

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